

iii. Tax Benefits if you take on a home loan

Deductions	Maximum Deduction	Section of the Income Tax Act	Terms
Interest	₹ 2 lakh	24b	For buying or constructing a new house which must be completed within five years from the financial year end in which the loan was availed.
Principal	₹ 1.5 lakh	80C	The sale of property should not be done before 5 years of possession is completed.
Stamp Duty on buying a house	₹ 1.5 lakh	80C	Should be claimed in the same financial year as it was spent.

*Interest paid during the construction period can either be deducted under Section 24b or added as cost of acquisition which will reduce the capital gains if the house is sold in future.

These are the tax benefits we get from Home Loans in the old tax regime. Because of these tax breaks the effective cost of home loan reduces, making it one of the cheaper loans out there.

iv. Joint Home Loan

A joint home loan involves sharing the responsibility of the loan with another person, your co-applicant. This arrangement allows you to combine your financial strength, increase your home loan eligibility, and even enjoy certain tax benefits twice. But who can be your co-applicant?

